

to figure out a reliable way to determine if tomorrow's price would be higher or lower than today's and by how much.

I tried all sorts of mathematical games to boost the accuracy of the prediction with only limited success. Then I moved to the visual world. I drew a trendline along a stock chart and wondered if I could determine how far price would decline below the line. I looked at many stock charts and trendlines trying to see if there was a relationship between a trendline and the breakdown of the trend. That is when I discovered it: the bump-and-run formation—BARF for short. I toyed with the idea of leaving the name as is but decided that the investment community wouldn't believe the veracity of the new pattern. So, I changed the name to bump-and-run reversal (BARR), a slightly more descriptive and palatable acronym.

The above Results Snapshot shows that the pattern ranks third for performance in both bull and bear markets where a rank of one is best. That means the average decline is better than average. That sentence reminds me of the Department of Redundancy Department. One quick note: The “percentage meeting price target” is based on the stock dropping to the low posted at the start of the BARR, not on the pattern's height.

Let's take a tour of the pattern.

Tour

[Figure 15.1](#) shows a good BARR example. The overall pattern reminds me of a mountain range. The foothills at the start of the pattern are low and subdued, not venturing too far above the up-sloping plain. Volume at the start of the pattern is high but recedes quickly. The mountains rise well above the foothills on high volume. Investor enthusiasm continues as price rounds over at the top, then diminishes on the far side. When the mountains end, price declines sharply and continues down. That is a BARR pattern: Price bumps up, rounds over, and runs back down.

The chart pattern is the visual representation of momentum. The base of the pattern follows a trendline that always slopes upward. It signals investors' eagerness to acquire the stock. As each day goes by, investors bid higher to reluctant sellers and the price rises.